

Netflix, Inc.

NFLX | October 4, 2026

SELL

Fair value (12-mo horizon reference)	\$48.00
Current price (October 2, 2026 close)	\$67.06
Implied upside / downside	-28%
Verdict	SELL

Investment Thesis

Netflix is a superb operating business selling at a price that assumes it is an unstoppable compounding machine. With more than 300 million paid memberships, global scale, and genuine free-cash-flow generation, the company has earned its place as the winner of the streaming wars. The problem is not the business. The problem is what the share price demands the business must still become: at \$67.06, the market is paying for a decade of uninterrupted, high-margin growth that the engagement data no longer supports.

The decisive fact is the divergence between content spending and engagement. View hours grew only about 2% in the first half of 2026 while the content budget keeps rising. Each marginal dollar of content is buying less viewing — the signature of a mature platform, not a growth compounder. The paid-sharing lift from the password-sharing crackdown, which powered the last leg of subscriber growth, was a one-time step-up in the paying base, not a repeatable engine. With engagement flat, the company has leaned on repeated price increases to drive revenue, and price hikes on flat engagement face hard limits: churn and piracy.

Earnings quality deserves equal skepticism. Netflix carries roughly \$33.8 billion of content assets on amortization schedules that are inherently judgmental — management decides, within wide latitude, how fast capitalized content costs flow through the income statement. Reported margins are therefore softer than they appear. Free cash flow tells a cleaner story, but 2026 cash flow is flattered by a one-time \$2.8 billion Warner Bros. Discovery termination fee that does not recur; normalized free cash flow is about \$10.3 billion, a materially lower base from which the market's growth expectations must be met.

Our probability-weighted fair value is \$48.00, 28% below the current price. The asymmetry is stark: even our bull case, at \$78.79, barely clears today's price, while our bear case sits at \$20.14. When the entire plausible upside is a few percent and the downside is measured in halves, the correct posture is to sell. SELL.

Business Overview

Netflix is the world's largest subscription video streaming service, operating in more than 190 countries with a content library spanning licensed programming and a large and growing slate of original films and series. Revenue comes primarily from monthly membership fees across ad-free tiers, supplemented by a lower-priced advertising-supported tier launched in late 2022 and a nascent games initiative.

The company's moat rests on scale: a global subscriber base amortizes content costs that regional competitors cannot match, and its recommendation and personalization systems benefit from the largest viewing dataset in the industry. The ad-supported tier adds a second revenue stream with structurally higher incremental margins, since advertising revenue requires no additional content spend.

Competition for attention is broader than the traditional streaming set. YouTube, TikTok, and gaming compete for the same leisure hours, and several of these competitors acquire their content effectively for free through user generation. Netflix must pay cash for every hour it hopes its subscribers will watch.

Forward Outlook

Our judgment is that Netflix is entering a structurally slower phase that the market has not yet priced. The subscriber base in developed markets is approaching saturation; future net additions will skew toward lower-ARPU regions and the ad tier, which dilutes average revenue per member even as headline subscriber counts grow. Management will continue to raise prices to manufacture revenue growth, but each increase on flat engagement raises churn risk and pushes marginal viewers toward piracy or free alternatives.

The advertising tier is the most credible growth lever, and we expect it to scale meaningfully over the next three years. But it is a lower-ARPU, cyclically exposed revenue stream, and its growth partly cannibalizes full-price subscriptions as existing members trade down. Net-net, we see revenue growing at a mid-single-digit rate — respectable for a mature media business, but incompatible with a growth multiple.

Longer term, the content-cost treadmill only steepens. Sports rights, live events, and gaming are logical adjacencies, but each carries the same economics: large upfront cash outlays for uncertain engagement returns. The era in which Netflix could outspend competitors into submission is ending, because the spending no longer reliably converts into viewing. A mature, cash-generative media utility is a fine business to own — at a utility-like multiple, which \$67.06 is not.

Valuation

We value Netflix on a 10-year scenario DCF at a 10% base discount rate, with terminal value computed on normalized 23% free-cash-flow margins — deliberately not peak margins. Base-case revenue compounds at 6.0% annually, and 2026 free cash flow is normalized to \$10.3 billion with the one-time \$2.8 billion Warner Bros. Discovery termination fee stripped out, since it does not recur.

Scenario	Fair value	What it assumes
Bear	\$20.14	Revenue growth stalls near 3%; engagement declines as price hikes drive churn and piracy; FCF margins compress to the mid-teens; 12.5% discount rate

Scenario	Fair value	What it assumes
Base	\$45.57	6.0% revenue CAGR; normalized 2026 FCF of \$10.3B; 10% discount rate; terminal value on normalized 23% FCF margins
Bull	\$78.79	Ad tier scales with accretive ARPU; pricing power holds without churn; margins expand; 8.5% discount rate

Weighting the scenarios 25% / 50% / 25% gives a probability-weighted fair value of \$47.52, which we round to our \$48.00 target. Note the skew: even the bull case (\$78.79) barely clears the current \$67.06 price, while the bear case implies a two-thirds loss. There is almost no compensation here for the risk being taken.

Key Risks

- Engagement deterioration: if view hours decline outright, the pricing-power thesis collapses and churn accelerates.
- Content amortization judgment: the \$33.8 billion content asset balance rests on management's amortization schedules; faster write-downs would reveal lower true margins.
- Competition for attention from free platforms (YouTube, TikTok) that do not bear content cash costs.
- Ad-market cyclical: a recession would hit the ad tier just as it becomes material to growth.
- Currency headwinds: a majority of members are outside the US, and dollar strength mechanically depresses reported growth.
- Regulatory risk: content quotas, taxation of digital services, and data rules across 190+ jurisdictions.

What Would Change Our Mind

- Sustained double-digit view-hour growth on a rising content budget — evidence the marginal content dollar is working again.
- A price increase cycle with no measurable uptick in churn, proving genuine pricing power on flat engagement.
- Free-cash-flow conversion structurally above 60% of operating income for two consecutive years.
- The ad tier demonstrating accretive blended ARPU rather than cannibalization of full-price plans.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit forecast horizon — 10 years for most businesses, 15 years for businesses meeting our compounder-quality criteria (10+ years of ROIC above 15%, stable or expanding gross margins, free-cash-flow conversion above 80%, all verified from history, never projected) — weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations; 8–8.5% for compounder-quality businesses whose predictable cash flows genuinely lower risk); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth (3.0% for compounder-quality businesses) applied to normalized mid-cycle margins — never peak margins — and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants. For international businesses we add an explicit country-risk premium to the discount rate and benchmark multiples against regional peers facing similar risks, never US peers alone; structural risks (e.g. VIE structures, regulatory confiscation) are modeled in cash flows and the bear case. We value this business over a 10-year horizon at a 10% base discount rate.

Disclaimer

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